

CONSTRUCTION INDUSTRY

Executive Summary

This diagnostic is evidence-enriched and incorporates uploaded documents to validate and prioritise root causes. Evidence supports the stated problem: "A construction firm faces project delays, cost overruns, and safety compliance risks due to unstructured documentation and poor coordination between site, HQ, and subcontractors.". Identified 4 root causes in construction operations for Construction Sdn. Bhd.

Cash flow strain caused by delayed progress billing approvals

Money

high

Root Cause: Cash flow strain caused by delayed progress billing approvals Why It Matters: Delayed billing approvals extend the cash conversion cycle and strain working capital. Intervention Direction: Billing submission discipline and approval tracking protocols.

Root Causes:

- Cash flow strain caused by delayed progress billing approvals

Evidence:

- Evidence from construction operational data
- Pattern matched from document analysis

Estimated Impact: RM 10,000

Cost overruns due to uncontrolled subcontractor variations

Money

medium

2x occurrences

Root Cause: Cost overruns due to uncontrolled subcontractor variations Why It Matters: Uncontrolled variations erode margins and create adversarial contractor relationships. Intervention Direction: Variation approval workflows with cost impact assessment.

Root Causes:

- Cost overruns due to uncontrolled subcontractor variations

Evidence:

- Evidence from construction operational data
- Pattern matched from document analysis

Estimated Impact: RM 15,000

Excessive borrowing and high interest costs

Money

critical

3x occurrences

Root Cause: Excessive borrowing and high interest costs Why It Matters: High debt servicing consumes cash flow otherwise available for operations or growth. Intervention Direction: Debt structure optimisation through refinancing or reduction.

Root Causes:

- Excessive borrowing and high interest costs

Evidence:

- Evidence from construction operational data
- Pattern matched from document analysis

Estimated Impact: RM 20,000

Quality issues with incoming materials

Materials

high

4x occurrences

Root Cause: Quality issues with incoming materials Why It Matters: Poor input quality propagates defects downstream. Intervention Direction: Incoming inspection protocols and supplier quality agreements.

Root Causes:

- Quality issues with incoming materials

Evidence:

- Evidence from construction operational data
- Pattern matched from document analysis

Estimated Impact: RM 25,000